GradientCIO

GIPS MANAGER DILIGENCE

# Northfield Example Capital — GIPS Manager Diligence

Global Value Equity Composite · data through 2025-12-31 · synthetic example

SUBJECT
**Northfield Example Capital**

DOCUMENT REVIEWED
**GIPS Composite Report**

DATA THROUGH
**2025-12-31**

VERIFIER
**Example Verifier LLP**

PREPARED FOR
**Gradient**

REVIEW DATE
**2026-10-04**

OVERALL ASSESSMENT
**Satisfactory with follow-ups**

REQUIREMENTS EVIDENCED
**7 of 8 · Partial**

# 01 Summary

OVERALL ASSESSMENT

**Satisfactory with follow-ups**

REQUIREMENTS EVIDENCED · 7/8

BOTTOM LINE

The firm-wide GIPS claim is correctly worded and verified through 2024 S1 S2. Two Medium findings need answers before approval: composite assets in the DDQ do not match the GIPS Report, and the fee schedule omits the performance fee S1 S3.

| MET | PARTIALLY MET | NOT MET | NOT FOUND |
|---|---|---|---|
| 4 | 2 | 1 | 1 |
| Four requirements evidenced | Verification and fee disclosure | DDQ asset inconsistency | Composite descriptions list |

EVIDENCE STATUS

| | | |
|---|---|---|
| **GIPS Composite Report** | **Available** | Data through 2025-12-31 S1 |
| **Verification letter** | **Available** | Coverage through 2024-12-31 S2 |
| **DDQ** | **Degraded** | Composite assets conflict with the report S3 |

> SYNTHETIC EXAMPLE for layout testing. Basis: GIPS Composite Report (Global Value Equity, data through 2025-12-31), verification letter dated 2026-03-15 and DDQ section 7. Diligence review against the 2020 GIPS standards; not a verification or legal opinion.

- **Overall assessment:** Satisfactory with follow-ups.
- Firm-wide compliance claim uses the required wording (4.C.1) and is verified through 2024-12-31.
- **Medium:** the DDQ states composite assets of $2.4B; the GIPS Report shows $2.1B at 2025-12-31 (1.A.7).
- **Medium:** the fee schedule disclosure omits the performance fee (4.C.11).

**Key judgment — evidence balance**

Observation: Met is 4 and Not met is 1 S1. Why it matters: The evidence is mixed. Uncertainty: The review is document-bound. What would change the view: Additional governed evidence that changes either count.

**Key judgment — partial support**

Observation: Partially met is 2 S1. Why it matters: Partial support limits a clean conclusion. Uncertainty: Missing documents may exist. What would change the view: Complete evidence for the partially supported requirements.

**Key judgment — evidence gaps**

Observation: Not found is 1 S1. Why it matters: Unlocated evidence remains outside the assessment. Uncertainty: Absence from the supplied record is not proof of absence. What would change the view: A current document resolving the gap.

**Analysis — Asset evidence needs reconciliation**

**Observation:** The DDQ and GIPS Report differ on composite assets S1, S3. **Why it matters:** the inconsistency limits reliance on the reported composite scale. **Uncertainty:** the effective date of any asset change is not documented. **What would change the view:** evidence closing follow-up request 1.

# 02 Performance Integrity & GIPS

REQUIREMENT EVIDENCE MATRIX (TEST)

| REQUIREMENT | EVIDENCE SCORE |
|---|---|
| PERFORMANCE RECORD | 1.0 |
| DISCLOSURES | 0.5 |
| GOVERNANCE EVIDENCE | -0.5 |

## Performance Integrity & GIPS

**Overall assessment:** Satisfactory with follow-ups

**GIPS status:** Northfield claims compliance with the GIPS standards. Verified by Example Verifier LLP for 2015-01-01 to 2024-12-31. No performance examination of the composite. Report reviewed: Global Value Equity Composite, data through 2025-12-31.

### Key findings

- [Medium] DDQ composite assets differ from the GIPS Report by $0.3B (1.A.7)
- [Medium] Fee schedule omits the performance fee (4.C.11)
- [Low] Verification gap of 12 months to the latest year-end

**Track record notes:** 11 years of annual returns, net of actual fees; global value equity benchmark; 14 portfolios; no carve-outs or portability.

### Follow-ups before approval

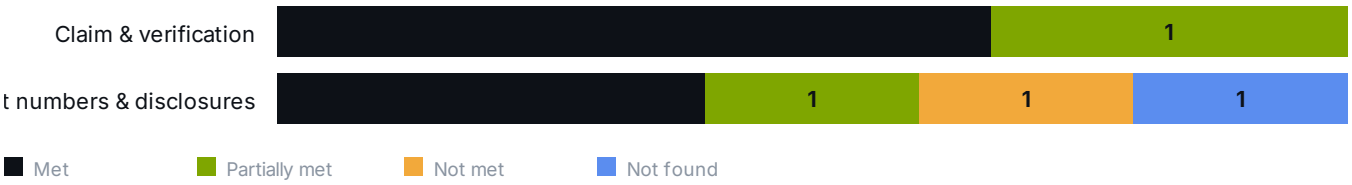
1. Reconcile composite assets between the DDQ and the GIPS Report.
2. Provide the full fee schedule including the performance fee.

# 03 Follow-up Requests

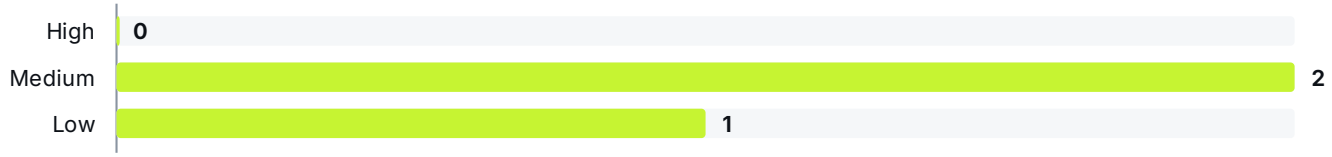
1. Composite asset reconciliation between DDQ 7.3 and the GIPS Report (1.A.7).
2. Full fee schedule including the performance fee (4.C.11).
3. List of composite descriptions (4.C.15).

# A Appendix — Findings Checklist

CHECKLIST STATUS BY AREA




FINDINGS BY SEVERITY




## Claim & verification

| AREA | REQUIREMENT | PROVISION | STATUS | EVIDENCE | FINDING / FOLLOW-UP |
|---|---|---|---|---|---|
| Claim | Compliance statement wording | 4.C.1 | Met | GIPS Report p.2 | — |
| Claim | Firm-wide claim | 1.A.1 | Met | GIPS Report p.2 | — |
| Verification | Verification covers recent periods | Verification | Partially Met | Letter 2026-03-15 | 2025 not yet verified |

## Report numbers & disclosures

| AREA | REQUIREMENT | PROVISION | STATUS | EVIDENCE | FINDING / FOLLOW-UP |
|---|---|---|---|---|---|
| Numbers | Composite assets each year | 4.A.1 | Met | GIPS Report p.1 | — |
| Consistency | DDQ agrees with GIPS Report | 1.A.7 | Not Met | DDQ 7.3 vs Report p.1 | $2.4B vs $2.1B |
| Disclosures | Fee schedule | 4.C.11 | Partially Met | GIPS Report p.3 | Performance fee missing |
| Disclosures | Benchmark description | 4.C.32 | Met | GIPS Report p.3 | — |
| Policies | List of composite descriptions available | 4.C.15 | Not Found | — | Request |

MEDIUM **Composite assets conflict**
The DDQ reports $2.4B while the GIPS Report reports $2.1B S1, S3.

MEDIUM **Fee schedule incomplete**
The reviewed fee schedule omits the performance fee S1.

LOW **Verification period gap**
Verification evidence ends at 2024-12-31 S2.

# B Appendix — Sources

| TAG | SOURCE | DETAIL | AS OF | VALIDATION |
|---|---|---|---|---|
| S1 | GIPS Composite Report | Global Value Equity, pp.1–3 | 2025-12-31 | Document |
| S2 | Verification letter | Example Verifier LLP | 2026-03-15 | Document |
| S3 | DDQ | Section 7 | 2026-06-30 | Document |

# C Appendix — Method & Disclaimer

Ratings follow the High/Medium/Low scale and overall-assessment rules in the Gradient GIPS output format. This is a diligence review against the published 2020 GIPS standards, not a verification, compliance certification or legal opinion.